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Documents (3)

1. *Due Diligence Resource Kit*
   Client/Matter: -None-
2. *Corporate and M&A Templates Integrated with Market Data Resource Kit*
   Client/Matter: -None-
3. *Asset Acquisition Resource Kit*
   Client/Matter: -None-

Due Diligence Resource Kit

Go to: Specialist Areas | Industry-Specific Considerations
Maintained

This Due Diligence Resource Kit provides a brief overview of the M&A due diligence process, as well as where to find practice notes, forms, templates, and checklists relating to this topic in Practical Guidance. The due diligence process is a critical component of an M&A transaction pursuant to which the potential buyer and its advisors undertake a detailed review of the target to better understand its business and operations and to identify any issues or areas of potential liability. This in turn will influence the buyer's valuation of the target and the corresponding transaction consideration, the terms of the transaction documents (particularly the allocation of risk between the parties), and whether the buyer desires to proceed with the transaction. The scope of the buyer's due diligence review will depend on several factors, including the nature of the transaction, the parties involved and their relative bargaining power, industry-specific considerations, and the buyer's overall appetite for risk.

The following resources provide a detailed explanation of the due diligence process, including areas of review and related tools and work product:

Practical Guidance Documents	**Practical Guidance Content Type**
Due Diligence Basics in M&A Deals	Practice Note
Common Topics of Review in M&A Due Diligence	Practice Note
Due Diligence Review Tools in M&A Deals	Practice Note
Due Diligence Work Product in M&A Deals	Practice Note
Sell-Side Due Diligence in M&A Transactions	Practice Note
Conducting Buy-Side Due Diligence for M&A Associates Video	Practice Video
Conducting Sell-Side Due Diligence for M&A Associates Video	Practice Video
Due Diligence Request List (Stock Purchase Transactions)	Checklist
Due Diligence Request List (Asset Purchase Transactions)	Checklist
Due Diligence Request List (Public Company Acquisition)	Checklist
Due Diligence Request List (Private Company Acquisition)	Checklist
Due Diligence Checklist (Minority Investment, Private Company)	Checklist
Representations and Warranties Insurance Underwriting Call Checklist	Checklist
Due Diligence Memorandum (M&A Transaction)	Template
Material Contracts Due Diligence Template	Template

Organizational Documents Due Diligence Template (Corporation)	Template
Due Diligence Access Agreement (M&A Transaction)	Template
Environmental, Social, and Governance (ESG) Due Diligence Checklist (M&A Transaction)	Checklist

Additional considerations may apply depending on the structure of the transaction. The following resources provide additional information regarding transaction-specific matters:

Practical Guidance Documents	**Practical Guidance Content Type**
Asset Acquisition: *Due Diligence Considerations in an Asset Acquisition*	Practice Note
Stock Acquisition: *Due Diligence Considerations in a Stock Acquisition*	Practice Note
Merger: *Due Diligence Considerations in a Merger*	Practice Note
Joint Venture Acquisition: *Due Diligence in Acquisitions of Joint Ventures*	Practice Note
Joint Venture Formation: *Due Diligence in the Establishment of Joint Ventures*	Practice Note
Due Diligence Request List (Stock Purchase Transactions)	Checklist
Due Diligence Request List (Asset Purchase Transactions)	Checklist
Cross-Border Asset Acquisition Due Diligence Checklist	Checklist
Cross-Border Stock Acquisition Due Diligence Checklist	Checklist

Specialist Areas

Depending on the nature of the target's business, various specialist areas may also be relevant to the due diligence review process. The following resources provide further guidance on particular topics:

Environmental:

Practical Guidance Documents	**Practical Guidance Content Type**
Environmental Due Diligence in M&A Transactions	Practice Note
Climate Change Considerations in M&A Transactions	Practice Note
Sample Environmental Due Diligence Questionnaire to Seller, *Environmental Law Practice Guide, 5A.23.1*	Template

Labor & Employment:

Practical Guidance Documents	**Practical Guidance Content Type**
Due Diligence Requests Checklist (Business Transaction) (Labor and Employment)	Checklist

Due Diligence Checklist (Award Agreements)	Checklist
Due Diligence Checklist (Employment Agreements)	Checklist
Due Diligence Checklist (Incentive Plans)	Checklist
Due Diligence Request List (Labor and Employment)	Template
Business Transactions: Labor and Employment Considerations	Practice Note
Common Topics of Review in M&A Due Diligence — Labor and Employment Diligence	Practice Note

Executive Compensation & Employee Benefits:

Practical Guidance Documents	**Practical Guidance Content Type**
Common Topics of Review in M&A Due Diligence — Employee Compensation and Benefits Diligence	Practice Note
Key Management Arrangements Due Diligence Template	Template
Due Diligence Request List (Executive Compensation and Employee Benefits)	Template
Due Diligence Checklist (Employment Agreements)	Template
Due Diligence Checklist (Award Agreements)	Template
Due Diligence Checklist (Incentive Plans)	Template

Intellectual Property, Software & Technology:

Practical Guidance Documents	**Practical Guidance Content Type**
IP Due Diligence	Practice Note
Artificial Intelligence (AI) Investment: Risks, Due Diligence, and Mitigation Strategies	Practice Note
IP Due Diligence Request List	Template
Due Diligence Summary Template (IP License Agreements)	Template
IP Due Diligence Review Charts	Template
Software Due Diligence Request List	Template
IP Due Diligence Checklist	Checklist
Software and Information Technology Due Diligence Checklist	Checklist
Open Source Software Due Diligence Checklist	Checklist

Patent Licensing Transactions § 1.12– Patent Due Diligence Checklist	Checklist

Real Estate:

Practical Guidance Documents	Practical Guidance Content Type
Real Estate Due Diligence in Corporate and M&A Transactions	Practice Note
Real Estate Due Diligence Checklist (M&A Transaction)	Checklist

REITs:

Practical Guidance Documents	Practical Guidance Content Type
REIT Transactional Considerations — REIT Due Diligence	Practice Note
Tax Due Diligence Information Request List (REIT Qualification)	Template
Real Estate Investment Trust (REIT) Due Diligence Checklist	Checklist
Real Estate Investment Trust (REIT) Qualification Checklist (Tax Technical Due Diligence Procedures)	Checklist

Regulatory Matters:

Practical Guidance Documents	Practical Guidance Content Type
Due Diligence: Antitrust Issues	Practice Note
FCPA: *FCPA Due Diligence in Mergers & Acquisitions*	Practice Note

Cross-Border:

Practical Guidance Documents	Practical Guidance Content Type
Cross-Border Asset Acquisition Due Diligence Checklist	Checklist
Cross-Border Stock Acquisition Due Diligence Checklist	Checklist

Industry-Specific Considerations

There may be additional areas of focus relating to the due diligence process based on the industry in which the target's business operates. The resources below provide guidance on specific items to review and related considerations for a select group of industries.

Finance & Banking:

Practical Guidance Documents	Practical Guidance Content Type
U.S. Bank M&A Practice Guide	Practice Note

Insurance:

Practical Guidance Documents	Practical Guidance Content Type
Insurance M&A Transactions — Due Diligence in Insurance	Practice Note

M&A Transactions	
Insurance for Cyber Risks in M&A Transactions	Practice Note

Life Sciences:

Practical Guidance Documents	Practical Guidance Content Type
Life Sciences M&A Transactions — Due Diligence	Practice Note

Media:

Practical Guidance Documents	Practical Guidance Content Type
Media M&A Transactions — Due Diligence	Practice Note

Technology:

Practical Guidance Documents	Practical Guidance Content Type
Technology M&A Transactions — Key Diligence Areas and Related Representations	Practice Note

Telecom:

Practical Guidance Documents	Practical Guidance Content Type
Telecom M&A Transactions — Due Diligence	Practice Note

Current as of: ***12/08/2025***

End of Document

Corporate and M&A Templates Integrated with Market Data Resource Kit

Go to: Acquisition Agreement Templates | Market Trends
Maintained

This resource kit provides links to enhanced acquisition agreement templates with deeper drafting notes. Through a strategic partnership with SRS Acquiom, Practical Guidance embeds excerpts from the *2025 SRS Acquiom M&A Deal Terms Study* into the drafting notes of highly negotiated provisions within this collection of enhanced templates for integrated historical private-target deal term trends and data-driven insights.

Acquisition Agreement Templates

Browse this collection of Practical Guidance templates to explore historical market data from SRS Acquiom embedded within drafting notes of key provisions when drafting and negotiating an acquisition agreement.

Practical Guidance Documents	Practical Guidance Content Type
Asset Purchase Agreement (Pro-Buyer) (DE)	Template
Asset Purchase Agreement (Pro-Seller) (DE)	Template
Stock Purchase Agreement (Pro-Buyer) (DE)	Template
Stock Purchase Agreement (Pro-Seller) (DE)	Template
Agreement and Plan of Merger (Private Target) (Pro-Buyer) (DE)	Template
Agreement and Plan of Merger (Private Target) (Pro-Seller) (DE)	Template
Asset Purchase Agreement (Division of Seller's Business) (Pro-Buyer) (DE)	Template
Asset Purchase Agreement (Division of Seller's Business) (Pro-Seller) (DE)	Template
Asset Purchase Agreement (Pro-Buyer) (Short Form) (AZ)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (AZ)	Template
Asset Purchase Agreement (Pro-Buyer) (Short Form) (CA)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (CA)	Template
Asset Purchase Agreement (Pro-Buyer) (Short Form) (DE)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (DE)	Template
Asset Purchase Agreement (Pro-Buyer) (Short Form) (FL)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (FL)	Template

Asset Purchase Agreement (Pro-Buyer) (Short Form) (IL)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (IL)	Template
Asset Purchase Agreement (Pro-Buyer) (Short Form) (MD)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (MD)	Template
Asset Purchase Agreement (Pro-Buyer) (Short Form) (NY)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (NY)	Template
Asset Purchase Agreement (Pro-Buyer) (Short Form) (TX)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (TX)	Template

Market Trends

Browse this collection of Market Trends practice notes to link directly to negotiated language for key provisions in publicly filed transaction agreements found in Market Standards, the searchable database of publicly filed M&A deals from Practical Guidance that enables users to search, compare, and analyze its comprehensive database of transactions using over 150 detailed data points to filter search results.

Practical Guidance Documents	Practical Guidance Content Type
De-SPAC Transaction Tracker (2024)	Tracker
De-SPAC Transaction Tracker (2023)	Tracker
Market Trends 2025: AI-Related Provisions in M&A Transaction Agreements	Practice Note
Market Trends 2024: De-SPAC Transactions	Practice Note
Market Trends 2024: An Overview of Market Trends in U.S. M&A Deals	Practice Note
Market Trends 2023: De-SPAC Transactions	Practice Note
Market Trends 2023: De-SPAC Transaction Terminations	Practice Note
Market Trends 2024: Purchase Price Adjustments	Practice Note
Market Trends 2024: Earn-Outs in Public-Private Deals	Practice Note
Market Trends 2024: Termination Fees	Practice Note
Market Trends 2024: Sandbagging Provisions	Practice Note
Market Trends 2024: Representations and Warranties Insurance	Practice Note
TTAB Decision Tracker: Likelihood of Confusion	Practice Note

Current as of: ***12/03/2025***

End of Document

Asset Acquisition Resource Kit

Go to: General Overview | Preliminary Agreements | Due Diligence | Asset Purchase Agreement and Related Clauses | Representations and Warranties Insurance | Ancillary Agreements | Transaction Process | Resolutions | Integration | Distressed Asset Transactions | Market Trends in M&A Transactions
Maintained

This Asset Acquisition Resource Kit provides a general overview of asset acquisition transactions, as well as where to find practice notes, form documents and clauses, checklists, and charts relating to this topic in Practical Guidance. Click *here* to see recent examples of publicly filed asset purchase agreements in Market Standards - M&A, the Practical Guidance database of publicly filed M&A deals that enables users to search, compare, and analyze transactions using 150+ M&A deal points to filter search results. You can customize any search to your needs by adding filters or modifying the search criteria.

To compare selected state laws on asset sales and appraisal rights, see the *Corporate and M&A section of the State Law Comparison Tool*.

General Overview

An asset acquisition involves the assignment or transfer of specified assets to, and the assumption of specified liabilities by, the buyer. Unlike a stock acquisition or merger, an asset acquisition does not involve the transfer of any corporate entities, and each of the buyer and the seller will maintain its separate legal existence following the completion of the transaction. Despite this, asset acquisitions can be complex due to the need to identify the assets and liabilities that are the subject of the transaction, and the various requirements associated with the transfer thereof. In addition, if the transaction involves all or substantially all of the seller's assets, the seller will typically need to dissolve and wind up once the transaction is completed. Asset acquisitions may be particularly attractive to buyers as this is often the most tax favorable transaction structure from the buyer's perspective, and is also a structure that helps the buyer minimize the risk associated with unknown liabilities by generally taking on only those liabilities the buyer is willing to assume.

The following resources provide additional details regarding general considerations relating to asset acquisitions:

Practical Guidance Documents	Practical Guidance Content Type
Asset Purchase Agreement Basics	Practice Note
Asset Transaction Key Considerations Video	Practice Video
Asset Purchase, Stock Purchase, and Merger Structures: Benefits and Drawbacks	Practice Note
Asset Sales: Defining "All or Substantially All"	Practice Note
Asset Purchase Transactions Training Presentation	Practice Note
M&A Transaction Process Maps	Practice Note
Private M&A Jurisdictional Comparison Chart (Corporations) (DE, NY, CA, TX, FL)	Practice Note
Tax-Free Acquisitive Reorganizations: Type A	Practice Note
Tax-Free Acquisitive Reorganization: Type A Two-Step	Practice Note

Practical Guidance Documents	Practical Guidance Content Type
Merger	
Private M&A Jurisdictional Comparison Chart (Limited Liability Company) (DE, NY, CA, TX, FL)	Practice Note
Asset Transaction Key Considerations Video	Practice Video
Asset Purchase Agreement Drafting Checklist	Checklist
Private Acquisition Agreements Key Negotiating Points Checklist	Checklist
Private Company Acquisition Flowchart	Checklist
Type A Reorganization Evaluation Checklist	Checklist

Preliminary Agreements

As with other acquisition transactions, the parties may enter into various preliminary agreements in connection with a proposed asset acquisition, including (1) a confidentiality or non-disclosure agreement to protect confidential information, (2) a term sheet or letter of intent to outline key deal terms, and (3) an exclusivity agreement to give the buyer a limited right to negotiate exclusively with the seller. See below for resources relating to each of these agreements.

Confidentiality Agreements

In friendly M&A transactions, the parties typically exchange non-public information about their businesses prior to signing a definitive transaction agreement. The parties use the information for a variety of reasons, including identifying cost and revenue synergies, validating the purchase price, and integration planning. Before exchanging confidential information, the parties typically enter into confidentiality agreements (also known as non-disclosure agreements or NDAs) that prohibit the disclosure or misuse of the information they will exchange during the negotiation and diligence process. NDA provisions are often heavily negotiated; in litigation over confidentiality agreements, the courts have ruled on key issues such as non-reliance clauses, attorney-client privilege, and (in public transactions) standstill provisions.

Practical Guidance Documents	Practical Guidance Content Type
Confidentiality/Non-Disclosure Agreements in Private M&A Deals	Practice Note
Confidentiality/Non-Disclosure Agreements in Public M&A Deals	Practice Note
Standstill Agreements in Public M&A Deals	Practice Note
Non-disclosure Agreements Training Presentation	Presentation
Confidentiality and Non-Disclosure Agreement Drafting Checklist	Checklist
Mutual Confidentiality and Non-disclosure Agreement	Template
Confidentiality, Non-Disclosure, and Non-Circumvention Agreement (Unilateral, Pro-Disclosing Party)	Template

Practical Guidance Documents	Practical Guidance Content Type
Buy-Side Investment Bank Engagement Letter (PE Portfolio Company)	Template

Letters of Intent / Term Sheets

A letter of intent ("LOI"), also called a memorandum of understanding ("MOU") or a "heads of agreement," is a negotiated term sheet-like document that sets out the important terms of a proposed transaction. There is no such thing as a "standard form" LOI. The contents must be customized depending on the structure of the transaction, the sophistication of the parties and many other factors. A term sheet is used for a similar purpose, and may be in the form of a chart, letter, or short agreement.

Practical Guidance Documents	Practical Guidance Content Type
Letters of Intent in Private M&A Deals	Practice Note
Letters of Intent in Public M&A Deals	Practice Note
Term Sheets	Practice Note
Letters of Intent and Term Sheets for Private M&A Deals Video	Practice Video
Letter of Intent (Asset Acquisition)	Template
Term Sheet (Stock Purchase) (Private Equity Buyer)	Template
Cross-Border Letter of Intent (Asset Acquisition)	Template
Letters of Intent, Term Sheets, and Memoranda of Understanding Training Presentation	Presentation

Exclusivity Agreements

An "exclusivity" or "no-shop" agreement prohibits a seller from soliciting alternative transactions. Broadly drafted, they usually also prohibit the seller from supplying due diligence information to or negotiating with other potential bidders. They may prohibit not only transactions similar to the one that the seller and the buyer are currently discussing, but also other types of transactions that could have the effect of conflicting with the primary transaction.

Practical Guidance Documents	Practical Guidance Content Type
Exclusivity (No-Shop) Agreements in Private M&A Deals	Practice Note
Exclusivity (No-Shop) Agreements in Public M&A Deals	Practice Note
Exclusivity Agreement (No-Shop Agreement, Acquisition Transaction)	Template
Exclusivity Agreements Drafting Checklist (No-Shop Agreements, Acquisition Transaction)	Checklist

Due Diligence

The due diligence review process is critical to any acquisition transaction, and is particularly in-depth in an asset acquisition given the need to identify the various assets and liabilities that will be the subject of the transaction, as well as any rights and obligations associated with the transfer thereof. During the due diligence process, before

signing the definitive agreement, the buyer and its counsel must obtain a thorough understanding of the target company through review of material contracts and other documents, and discussions with key seller personnel. The due diligence investigation is intended to unearth areas of potential risk to the buyer and target company, which the buyer and the seller must then allocate to one side or the other as they draft the transaction documents. Relevant resources include:

Practical Guidance Documents	Practical Guidance Content Type
Due Diligence Basics in M&A Deals	Practice Note
Common Topics of Review in M&A Due Diligence	Practice Note
Due Diligence Considerations in an Asset Acquisition	Practice Note
Due Diligence Review Tools in M&A Deals	Practice Note
Due Diligence Work Product in M&A Deals	Practice Note
Due Diligence: Antitrust Issues	Practice Note
FCPA Due Diligence in Mergers & Acquisitions	Practice Note
IP Due Diligence	Practice Note
Conducting Buy-Side Due Diligence for M&A Associates Video	Practice Video
Conducting Sell-Side Due Diligence for M&A Associates Video	Practice Video
Due Diligence Request List (Asset Purchase Transactions)	Checklist
IP Due Diligence Request List	Checklist
IP Due Diligence Checklist	Checklist
Real Estate Due Diligence Checklist (M&A Transaction)	Checklist
Due Diligence Request List (Public Company Acquisition)	Checklist
Due Diligence Request List (Private Company Acquisition)	Checklist
Environmental, Social, and Governance (ESG) Due Diligence Checklist (M&A Transaction)	Checklist
Due Diligence Memorandum (M&A Transaction)	Template
Due Diligence Access Agreement (M&A Transaction)	Template
Key Management Arrangements Due Diligence Template	Template
Material Contracts Due Diligence Template	Template
Organizational Documents Due Diligence Template (Corporation)	Template

Practical Guidance Documents	Practical Guidance Content Type
IP Due Diligence Checklist	Checklist

Asset Purchase Agreement and Related Clauses

The asset purchase agreement is the principal transaction document entered into by the buyer and the seller in order to effect an asset acquisition. See below for further details, sample templates and clauses, and other relevant materials.

Asset Purchase Agreement

Practical Guidance Documents	Practical Guidance Content Type
Private Acquisition Agreements Key Negotiating Points Checklist	Checklist
Asset Purchase Agreement Drafting Checklist	Checklist
Asset Purchase Agreement (Pro-Buyer) (Short Form) (AZ)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (AZ)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (MD)	Template
Asset Purchase Agreement (Pro-Buyer) (DE)	Template
Asset Purchase Agreement (Pro-Buyer) (Short Form) (DE)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (DE)	Template
Asset Purchase Agreement (Pro-Buyer) (Short Form) (CA)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (CA)	Template
Asset Purchase Agreement (Pro-Buyer) (Short Form) (FL)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (FL)	Template
Asset Purchase Agreement (Pro-Buyer) (Short Form) (MD)	Template
Asset Purchase Agreement (Pro-Buyer) (Short Form) (NY)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (NY)	Template
Asset Purchase Agreement (Pro-Buyer) (Short Form) (TX)	Template
Asset Purchase Agreement (Pro-Seller) (Short Form) (TX)	Template
Asset Purchase Agreement (Pro-Seller) (DE)	Template
Asset Purchase Agreement (Division of Seller's Business) (Pro-Buyer) (DE)	Template
Notice of Termination of Acquisition Agreement	Template

Practical Guidance Documents	Practical Guidance Content Type
Amendment to Asset Purchase Agreement	Template

Disclosure Schedules

Disclosure schedules are addenda to the representations and warranties in which certain factual disclosures are made. Because the items disclosed in the schedules will be keyed to the representations and warranties in the acquisition agreement, counsel will need to help its client interpret the representations and warranties to ensure that all relevant and responsive information is identified and disclosed in the appropriate schedule, or in the case of public transactions, otherwise disclosed in SEC filings.

Practical Guidance Documents	Practical Guidance Content Type
Disclosure Schedules: Preparation and Review	Practice Note
Disclosure Schedules for Private M&A Deals Video	Practice Video
Key Drafting Considerations for Disclosure Schedules (Chart)	Checklist
Disclosure Schedules for M&A Transactions	Template
Disclosure Schedule to Asset Purchase Agreement	Template
Disclosure Schedule Updates Clause (Acquisition Agreement)	Clause

Key Provisions

Consideration

The purchase price provisions are among the most critical terms of an acquisition agreement. The primary forms of consideration are cash, stock of the buyer (or another entity), or a combination of cash and stock. The consideration may also include promissory notes, forgiveness of or assumption of liabilities, or other assets. Private target acquisitions may include purchase price adjustments (e.g., earn-outs, net asset value purchase price adjustments) in a deferred payment scheme or in order to preserve the benefit of the parties' bargain during the interim period between signing and closing. The parties to an acquisition of a public target may agree to include certain provisions in the agreement in order to preserve the transaction value between signing and closing (e.g., contingent value rights, pricing collars).

Practical Guidance Documents	Practical Guidance Content Type
Purchase Price Provisions in Acquisition Agreements	Practice Note
Purchase Price Adjustment Provisions in M&A Transaction Documents	Practice Note
Earn-Out Clauses	Practice Note
Equity Rollover Commitments	Practice Note
Contingent Value Rights	Practice Note
Pricing Collars	Practice Note
Earn-Out Provisions Key Considerations Chart	Checklist

Practical Guidance Documents	Practical Guidance Content Type
Rollover Commitment Letter	Template
Debt Purchase Price Adjustment Clause	Clause
Earn-Out Clauses	Clause
Escrow Provisions	Clause
Inventory Purchase Price Adjustment Clause	Clause
Net Asset Value Purchase Price Adjustment Clause	Clause
Stock Consideration Clause (Long Form)	Clause
Stock Consideration Clause (Short Form)	Clause
Contingent Value Rights	Clause
Pricing Collars	Clause
Working Capital Purchase Price Adjustment Clause (Long Form)	Clause
Working Capital Purchase Price Adjustment Clause (Long Form)	Clause
Equity Rollover Merger Agreement Clauses	Clause
Public Announcements Clause (Acquisition Agreement)	Clause

Representations and Warranties

The representations and warranties sections of an acquisition agreement are among the most heavily negotiated provisions. For the buyer, representations and warranties from the seller serve, among other things, as the seller's confirmation of certain key attributes of the assets being acquired. Thus, the representations and warranties provide insurance for the buyer's own due diligence of the assets. Negotiations of representations and warranties will revolve around content, scope and the use of qualifiers (e.g., material adverse effect/change qualifiers or knowledge qualifiers). See Key Defined Terms below. Counsel for the party making the representations and warranties will seek to narrow the statements as much as possible so that its client is less likely to be found in breach. Information gathered through the due diligence process also is used to prepare disclosure schedules. The use of representations and warranties insurance has exploded in recent years; see guidance below and clauses under the section headings Covenants, Indemnification, and Conditions.

Practical Guidance Documents	Practical Guidance Content Type
Representations and Warranties in Acquisition Agreements	Practice Note
Key Representations and Warranties in Acquisition Agreements (Chart)	Checklist
Chart: Contractual Disclaimer Provisions in Private Acquisitions (DE, NY)	Practice Note
Representations and Warranties Insurance Policies Strategic	Practice Note

Practical Guidance Documents	Practical Guidance Content Type
Uses	
Representations and Warranties Insurance Policy Selection	Practice Note
Representations and Warranties Insurance Drafting and Counseling Considerations	Practice Note
Representations and Warranties Insurance: A Closer Look at Claims	Practice Note
Key Representations and Warranties in Acquisition Agreements (Chart)	Checklist
Environmental Representations and Warranties (Pro-Buyer)	Clause
Environmental Representations and Warranties (Pro-Seller)	Clause
Financial Ability Representation Clause (Long Form)	Clause
Financial Ability Representation Clause (Short Form)	Clause
Financial Statements Representation	Clause
Non-reliance Clause (Acquisition Agreements)	Clause
No Undisclosed Liability Representation Clause (M&A Transaction)	Clause
Weinstein/#MeToo Clause	Clause

Covenants

Covenants seek to require or enjoin acts either prior to or following closing. In the acquisition agreement, covenants obligate the parties to perform, or prohibit them from performing, certain acts that are meant to preserve the value of the target assets and ensure that the transaction is consummated. The three main categories of pre-closing covenants concern (a) operation of the business, (b) facilitation of closing, and (c) deal protections. Post-closing covenants typically relate to the maintenance of (i) certain employee benefit arrangements for the target's employees who remain with the acquirer, (ii) insurance for the target's directors for pre-closing actions, and (iii) transition services (primarily in deals involving public company targets and private equity buyers).

Practical Guidance Documents	Practical Guidance Content Type
Covenants in Acquisition Agreements	Practice Note
Market Trends 2023: No-Shops, Go-Shops, and Fiduciary Outs	Practice Note
Market Trends 2022: No-Shops, Go-Shops, and Fiduciary Outs	Practice Note
Acquisition Agreements Key Covenants Chart	Checklist
No-Shop Clause	Clause
Go-Shop Clause	Clause

Practical Guidance Documents	Practical Guidance Content Type
Non-Compete, Non-Solicitation, and Non-Disparagement Covenants Clause	Clause
Employment Covenants (Pro Buyer)	Clause
Interim Covenants	Clause
Fees and Expenses Clause	Clause
Disclosure Schedule Updates Clause (Acquisition Agreement)	Clause
Representations and Warranties Insurance Covenant Clause	Clause
Conflicts of Interest and Attorney-Client Privilege Clause (Asset Purchase)	Clause

Conditions

Acquisition agreements usually contain conditions precedent, which are events that need to occur, or facts that need to be true, after the agreement is signed and through the period before the closing date, in order for the parties to be obligated to consummate the transaction. Because the failure to satisfy any closing condition gives a party whose performance is subject to the condition the right to terminate the acquisition agreement, conditions tend to be heavily negotiated. Closing conditions vary from deal to deal based on transaction- and industry-specific considerations, as well as the parties' respective bargaining positions.

Practical Guidance Documents	Practical Guidance Content Type
Conditions to Closing in Acquisition Agreements	Practice Note
Financing Conditions	Practice Note
Closing Condition (Carveout to MAE Condition)	Clause
Closing Condition (HSR Clearance)	Clause
Closing Condition (HSR and Other Antitrust Laws)	Clause
CFIUS Condition	Clause
Bring-Down Condition (with Materiality Scrape)	Clause
Strict Financing Condition (M&A Transaction)	Clause
Financing Failure Financing Condition (M&A Transaction)	Clause
Representations and Warranties Insurance Closing Condition Clause	Clause
Due Diligence Condition	Clause

Termination

Termination provisions grant one or more of the parties to an acquisition agreement the right to walk away from the transaction during the period between signing and closing. Common triggers for termination rights are discussed in

the materials below; the application of termination rights triggers may depend on whether the transaction is public or private. Under some circumstances, the seller may be obligated to compensate the buyer for expenses or fees upon termination of the acquisition agreement; the buyer may have to pay a reverse termination fee to the seller under some circumstances.

Practical Guidance Documents	Practical Guidance Content Type
Termination Provisions in M&A Transaction Agreements	Practice Note
Termination Triggering Events in M&A Transaction Agreements	Practice Note
Termination Rights and Fees in Acquisition Agreements	Practice Note
Market Trends 2023: Termination Fees	Practice Note
Market Trends 2022: Termination Fees	Practice Note
Reverse Termination Fees and Specific Performance Checklist	Checklist
Termination Provisions and Fees Checklist	Checklist
Termination Fee Clause (Alternative Acquisition Proposal)	Clause
Termination Fee Clause (Change in Board Recommendation)	Clause
Termination Fee/Expense Reimbursement Clause (Failure to Obtain Stockholder Approval)	Clause
Reverse Termination Fee Clause (Financing Failure)	Clause
Reverse Termination Fee Clause (Regulatory Failure)	Clause
Termination Provisions (M&A Transaction)	Clause
Break-Up Fees Provisions	Clause
Notice of Termination of Acquisition Agreement	Template

Indemnification

The purpose of indemnification provisions is to lay out the circumstances and manner in which (i) the buyer can seek remedies from the seller for committing any pre-closing breaches and (ii) the seller can resist the buyer's attempts to claw back the purchase price. The indemnification section of an acquisition agreement typically includes a fairly detailed mechanism for the resolution of claims, including the type of notice that needs to be given, the timing by which such notice must be given, and the process for resolving claims. It is important to consider whether a merger or purchase agreement will include a provision for specific performance since, in the absence thereof, the parties will be limited to damages or break-up fees as a remedy in the event of breach and/or termination of the agreement.

Practical Guidance Documents	Practical Guidance Content Type
Indemnification Claims in Acquisitions	Practice Note
Indemnification Provisions in Private Acquisition Agreements	Practice Note

Practical Guidance Documents	Practical Guidance Content Type
Key Drafting Considerations for Indemnification Provisions (Chart)	Checklist
Statutory and Common Law Remedies in Acquisition Agreements	Practice Note
Market Trends 2023: Sandbagging Provisions	Practice Note
Market Trends 2021: Sandbagging Provisions	Practice Note
Silence on Sandbagging in Private Acquisitions Chart (CA, DE, NY, TX, FL)	Practice Note
Contribution Agreement (Seller Indemnification, Acquisition Transaction)	Template
Indemnification Clause (Tipping Basket)	Clause
Indemnification Clause (Deductible)	Clause
Indemnification Clause (Combination Basket)	Clause
Indemnification Clauses (Representations and Warranties Insurance)	Clause
Materiality Scrape Clause (Indemnification)	Clause
Sandbagging Clauses	Clause
Survival Clause	Clause
Notice of Indemnity Claim (Acquisition Agreement)	Template

Key Defined Terms

Among other highly-negotiated definitions in acquisition agreements, the material adverse change (MAC) and knowledge definitions are particularly high-impact; they affect the allocation of risk between buyer and seller in representations about the target business.

Practical Guidance Documents	Practical Guidance Content Type
Fraud Carve-Outs in Acquisition Agreements	Practice Note
Material Adverse Change Definitions	Practice Note
Market Trends H2 2024: Fraud Carve-Outs in Private Target Deals	Practice Note
Material Adverse Change Definition Clause	Clause
Knowledge Definition Clause	Clause

Miscellaneous

The following provisions should not be overlooked as mere boilerplate; buyers, sellers, and their counsel must understand the legal and strategic considerations for these provisions.

Practical Guidance Documents	Practical Guidance Content Type
Critical Boilerplate in Acquisition Agreements	Practice Note
Fraud Carve-Outs in Acquisition Agreements	Practice Note
Market Trends H2 2024: Fraud Carve-Outs in Private Target Deals	Practice Note
Statutory and Common Law Remedies in Acquisition Agreements	Practice Note
Severability Clause (Long Form)	Clause
Severability Clause (Short Form)	Clause
Escrow Provisions	Clause
Real Estate Provisions in M&A Agreements Checklist	Checklist
Specific Performance Clauses	Clause
Cross Border Arbitration Clause	Clause
Cross-Border Remedies Clause	Clause
Cross-Border Privacy and Data Security Clause	Clause
Cross-Border Currency and Exchange Control Clause	Clause
Language and Interpretation Clause	Clause
Cross-border Export Controls and Sanctions Compliance Provision	Clause

Representations and Warranties Insurance

Representations and warranties insurance is becoming increasingly prevalent in connection with U.S. M&A transactions as a way to supplement or even replace a seller's indemnification obligations to the buyer. See below for further guidance.

Practical Guidance Documents	Practical Guidance Content Type
Representations and Warranties Insurance Drafting and Counseling Considerations	Practice Note
Representations and Warranties Insurance Policies Strategic Uses	Practice Note
Representations and Warranties Insurance Policy Selection	Practice Note
Representations and Warranties Insurance: A Closer Look at Claims	Practice Note

Practical Guidance Documents	Practical Guidance Content Type
Market Trends 2023: Representations and Warranties Insurance	Practice Note
Market Trends 2022: Representations and Warranties Insurance	Practice Note
Selecting Right Representations and Warranties Policy Checklist	Checklist
Representations and Warranties Insurance Covenant Clause	Clause
Representations and Warranties Insurance Closing Condition Clause	Clause
Indemnification Clauses (Representations and Warranties Insurance)	Clause

Ancillary Agreements

In addition to the asset purchase agreement, the parties to an asset acquisition will need to enter into various ancillary agreements in order to effect the transfer or assignment of assets and liabilities. In many transactions, a portion of the purchase price is withheld from the seller and instead deposited into an escrow account at closing to cover certain post-closing liabilities such as indemnification. Use of an escrow account is of particular interest to buyers in asset acquisitions, as often the seller will liquidate and dissolve once the transaction closes, increasing the risk that the buyer will not have meaningful recourse in the event it has an indemnification claim. The parties may also enter into a transition services agreement at closing, by which the seller will provide the buyer certain services during a transitional period until the buyer can fully integrate the acquired assets into its own business. See below for further discussion and sample forms.

Instruments of Transfer

Practical Guidance Documents	Practical Guidance Content Type
Deal Documents and Approvals in M&A Deals	Practice Note
Assignment and Assumption Agreement (DE)	Template
Bill of Sale (Asset Purchase Agreement)	Template
IP Asset Acquisitions	Practice Note
Intellectual Property Assignment (M&A Transaction)	Template

Escrow Agreement

Practical Guidance Documents	Practical Guidance Content Type
Escrow Agreement	Template
Escrow Agreement Drafting Considerations Checklist	Checklist
Escrow Agreement Overview Chart	Chart

Transition Services Agreement

Practical Guidance Documents	Practical Guidance Content Type
Transition Services Agreements in M&A Deals	Practice Note
Transition Services Agreement	Template

Other

Practical Guidance Documents	Practical Guidance Content Type
Parent Guaranty (M&A Transaction)	Template

Transaction Process

The transaction process for an asset acquisition involves a number of factors. See below for resources that provide a general transaction overview and timetable, discuss considerations relating to an auction process, and outline various elements of the signing and closing process, including associated filings and approvals that may be required.

General

Practical Guidance Documents	Practical Guidance Content Type
Asset Acquisition Timetable Checklist (Acquisition of Assets of Target Company Transaction) (Word Format)	Checklist
Sale of Company Preparation Checklist	Checklist
Asset Purchase Transaction Closing Checklist	Checklist
M&A Transaction Process Maps	Practice Note

Auction Process

In the M&A market, target companies are generally sold through either a negotiated sale or an auction process. In a negotiated sale, a seller will engage directly with one or two potential buyers (or sometimes more) in a process that generally gives buyers a significant degree of leverage with respect to price, deal terms and the timetable the deal proceeds along. Alternatively, a seller may choose to engage in an auction process.

In an auction, a seller typically engages an investment bank to run the process. The investment bank will create marketing materials and identify and contact a large number of potential buyers to participate in the auction. In addition, the investment bankers (and the seller's M&A counsel) will act as a go-between for communications between each potential buyer and the seller, as there is little to no direct negotiation in the early stages of an auction. The seller, its counsel and the investment bank will define the process for the auction, which is usually structured in stages (frequently two rounds of bidding) and will also develop guidelines for bid submissions, such as the assumptions to build into offers (e.g., prices should assume that the business will be delivered cash and debt-free). Sell-side M&A legal counsel will create an auction or bid draft of a definitive transaction agreement that the seller will ask auction participants to markup into the format the bidder would agree to sign if selected as the auction winner. These markups are important components of the auction process because they can affect seller's decision in selecting the auction winner; for example, although a buyer may have offered the highest price, the terms it inserts into the auction draft may be more onerous (and unacceptable) as compared to a buyer with a lighter markup, but a lower offering price.

Signing and Closing

To best manage the execution and exchange of signatures and documents in an M&A transaction, counsel should plan ahead to ensure a smooth signing and closing. When an M&A transaction signs and closes simultaneously, all transaction documents are executed and exchanged at the same time. In transactions where the signing and closing are not simultaneous, there will be two separate stages of execution and exchange of documents. Counsel is generally responsible for, among other things:

- Finalizing the main transaction document and ancillary documents and other deliverables that need to be exchanged at closing
- Obtaining all necessary regulatory approvals and director, shareholder and other third-party consents, and making any required filings
- Preparing and circulation signature packets to the transaction documents that will be executed and delivered at signing and closing

Practical Guidance Documents	Practical Guidance Content Type
Acquisition Entity Formation	Practice Note
Deal Documents and Approvals in M&A Deals	Practice Note
Closing Asset Purchase, Stock Purchase, and Merger Transactions involving Real Estate	Practice Note

Filings, Consents, and Approvals

Counsel should consider regulatory filings and approvals and shareholder and board approvals in the early stages of a transaction to ensure they are timely obtained for closing. Regulatory considerations may include merger control and approval filings and securities disclosure and/or registration (if new stock is issued). Both parties to the transaction must determine if the approval of their respective shareholders and/or board of directors, in the case of a corporation, or members and/or managers, in the case of limited liability companies, is required to consummate the transaction. For a sale of all or substantially all of the assets or the merger of an entity, most state's laws require the shareholders or members, as applicable, of the entity to consent to the sale or merger. Other organizational documents, such as shareholder agreements and voting agreements may also require consents. A stock transaction may trigger change-in-control clauses. These considerations are discussed in detail in the following documents:

Practical Guidance Documents	Practical Guidance Content Type
Regulatory Approvals and Filings in M&A Deals	Practice Note
Securities Filings in M&A Deals	Practice Note
Deal Documents and Approvals in M&A Deals	Practice Note
Corporate and LLC Consents Required for Mergers and Acquisitions Checklist (DE)	Checklist

Resolutions

Corporate approval requirements in connection with an asset acquisition are governed by state law. In most cases, the sale of all or substantially all of the seller's assets will require both board and shareholder approval (or equivalent). See below for form resolutions for applicable corporate approvals.

Board/Manager Resolutions – Buyer

Practical Guidance Documents	Practical Guidance Content Type

Practical Guidance Documents	Practical Guidance Content Type
Resolutions of Board of Buyer (Asset Purchase)	Template

Board/Manager Resolutions – Seller

Practical Guidance Documents	Practical Guidance Content Type
Resolutions of Board of Seller (Asset Purchase)	Template
Target Corporation Board Resolutions: Asset Purchase Transaction Approval	Template
Manager Resolutions of Seller (Asset Purchase) (All or Substantially All Assets) (LLC)	Template

Stockholder/Member Resolutions – Buyer

Practical Guidance Documents	Practical Guidance Content Type
Resolutions of LLC Members of Buyer (Asset Purchase)	Template

Stockholder/Member Resolutions – Seller

Practical Guidance Documents	Practical Guidance Content Type
Target Corporation Shareholder Resolutions: Asset Purchase Transaction Approval	Template
Appraisal Demand Letter (Beneficial Owner) (DE)	Template

Integration

Integration planning is an important element of any M&A transaction – see below for further discussion of relevant considerations.

Practical Guidance Documents	Practical Guidance Content Type
Integration Planning: Antitrust Considerations	Practice Note
Integration Planning in M&A Transactions	Practice Note
After the Deal is Done Video	Practice Video
Integration Planning in Mergers and Acquisition Transactions Checklist	Checklist
New Business Setup Checklist	Checklist

Distressed Asset Transactions

Distressed M&A transactions are often structured as asset deals. There are a number of additional considerations for transactions in the distressed below – see below for relevant resources.

Practical Guidance Documents	Practical Guidance Content Type
Distressed M&A: An Overview of Deal Structuring Considerations	Practice Note

Practical Guidance Documents	Practical Guidance Content Type
Asset Sale Outside of Bankruptcy versus a 363 Sale Chart	Chart
Conducting Section 363 Sales	Practice Note
Selling Assets and Assigning Contracts and Leases in a Section 363 Sale	Practice Note
Section 363 Sale Procedures, Hearings, Orders, and Appeals	Practice Note
Fraudulent Transfers	Practice Note

Market Trends in M&A Transactions

When drafting or reviewing an M&A transaction agreement, practitioners should first identify and understand market trends. The following Practical Guidance market trends practice notes are based on transaction surveys using Market Standards, the searchable database of publicly filed M&A deals from Practical Guidance that enables users to search, compare, and analyze its comprehensive database of transactions using over 150 detailed deal points to filter search results. Any search can be customized by adding filters or modifying the search criteria.

Practical Guidance Documents	Practical Guidance Content Type
M&A Litigation	Practice Note
Market Trends 2025: AI-Related Provisions in M&A Transaction Agreements	Practice Note
Market Trends 2025: Earn-Outs in Public-Private Deals	Practice Note
Market Trends 2025: No-Shops, Go-Shops, and Fiduciary Outs	Practice Note
Market Trends 2025: Purchase Price Adjustments	Practice Note
Market Trends 2025: Termination Fees	Practice Note
Market Trends 2024: De-SPAC Transactions	Practice Note
Market Trends 2024: No-Shops, Go-Shops, and Fiduciary Outs	Practice Note
Market Trends 1Q 2023: Employee Benefits and Executive Compensation in Corporate Transactions	Practice Note
Market Trends 2023: No-Shops, Go-Shops, and Fiduciary Outs	Practice Note
Market Trends 2023: Termination Fees	Practice Note
Market Trends 2023: Representations and Warranties Insurance	Practice Note
Market Trends 2023: Sandbagging Provisions	Practice Note
Market Trends 2023: De-SPAC Transaction Terminations	Practice Note

Practical Guidance Documents	Practical Guidance Content Type
Market Trends 2023: Earn-Outs in Public-Private Deals	Practice Note
Market Trends 2023: Purchase Price Adjustments	Practice Note
Market Trends 2024: An Overview of Market Trends in U.S. M&A Deals	Practice Note
Market Trends 2024: Earn-Outs in Public-Private Deals	Practice Note
Market Trends 2024: Purchase Price Adjustments	Practice Note
Market Trends 2024: Sandbagging Provisions	Practice Note
Market Trends 2024: Representations and Warranties Insurance	Practice Note
Market Trends 2024: Termination Fees	Practice Note

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